

Framework for Sizing and Duration of Trade Ideas

Based on Sentiment and Confidence Expressed

This refined framework integrates sentiment, confidence levels, trade duration, and position sizing to help traders decide how to allocate capital effectively, from high probability cashflow trades to swing trades and big ideas. The goal is to identify big ideas where large positions can be taken, swing trades for solid returns, and multiple intraday trades for fast cashflow.

1. Sentiment

Determines direction of the trade, and an indication of the strength of the move.

- Bullish: DP is optimistic about the stock's performance, includes "Cautiously Bullish," and "Strongly Bullish,"
- Bearish: DP expects the stock to decline in value. Includes "Cautiously Bearish," and "Strongly Bearish"
- Neutral: DP does not expect significant price movement, or the market conditions are unclear.
- Unsure: DP expresses uncertainty; may wait for more data or price action before committing.

2. Confidence Levels

A. Big Idea (Highest Confidence)

Description: DP expresses extreme conviction in the trade, backed by strong short-term catalysts or stock-specific fundamentals. These trades offer high-probability, high-return potential and justify large position sizes. Big Ideas are expected to generate the most profits today or in the next few days.

Clues:

- DP uses emotional language like "love," "home run," "killing it", "slam dunk", or "must-have."
- DP is excited and refers to the idea multiple times. In written transcripts, he might say, "huge opportunity" or "can't miss this one."
- On the call audio his voice shows a higher pitch, and he talks more animatedly about the trade idea (not available via transcript).
- There is a clear thesis with an immediate catalyst (e.g., large single intraday moves), or short-term impact of broader market trends.

Sizing: Build a full position, with the option to scale to a double position (2x full) as the trade develops or if the catalyst hits as expected.

B. High Confidence

Description: DP is very confident in the trade, either due to technical setups, macro conditions, or stock-specific factors. These trades may not be as transformative as big ideas, but still offer strong potential.

Clues: DP provides clear price levels or targets with conviction but without the heightened emotional cues of a big idea.

Sizing: Full position. These trades should be sized for significant participation, particularly if the trade is a swing.

C. Medium Confidence

Description: DP shows moderate conviction. These trades have good potential but may carry more risk or uncertainty. DP might adjust levels frequently or express caution about market conditions.

Clues: DP revisits a trade and provides specific entry/exit levels but lacks strong emotional engagement.

Sizing: 1/2 to 1/3 position. You should allocate less capital than for big or high-confidence trades.

D. Low Confidence

Description: DP is neutral or cautious. He may suggest these trades based on immediate price action but with limited conviction about the outcome.

Clues: DP uses cautious language, highlighting specific short-term levels rather than a long-term thesis.

Sizing: Small or 1/4 position. Be cautious and allocate minimal capital.

3. Duration of the Trade

A. Cashflow Trade (Scalp or Day Trade)

Description: These are short-term trades designed to capture quick intraday price action or early session moves. Typically, cashflow trades occur in the AM session or right after the open, and they rely on momentum or price volatility.

Purpose: Capture fast, intraday profits.

Action: Starter position and quickly tier up if the trade works in your favor. Exit quickly as soon as the trade fails or trim on strength and take profits as price targets are hit. Cashflow trades can sometimes have high conviction, especially at market open.

Sizing: Start small (1/3 to 1/2 position) and quickly tier up to a full position if the trade works. Be prepared to exit quickly.

Examples:

Scalp: DP identifies specific price levels for quick price changes within minutes to hours. Fast entry and exit.

Day Trade: The trade may last until the end of the session, aiming for larger intraday moves based on early market trends.

B. Swing Trade

Description: These are multi-day to multi-week trades where DP expects the stock to move steadily in the desired direction. DP revisits these trades daily, adjusting targets based on an evolving market.

Purpose: Capture steady gains over several days to weeks.

Action: Allocate a full position when DP shows high confidence, or double for today's Big Idea. If the conviction is lower, consider starting with a smaller position and adjusting based on performance.

Practice: Scale positions as part of trading around the core. For high confidence, enter a full position but consider adding more on dips or trimming profits on short-term rallies.

Sizing: Allocate a full position. These trades typically allow for more time to manage the trade and react to changes. For swing trades with medium or high confidence, we add to a core position when prices pull back to support levels. Reduce the position when approaching resistance, managing risk while maintaining the core.

Examples:

- DP gives a medium-term target, with expected price movement over several days or weeks.
- Swing trades are more likely to have high confidence and sometimes big idea levels of conviction.
- Holding a core in NVDA, adding shares during dips, and selling some on short-term rallies, but holding onto the core for the long-term uptrend.

C. Long-Term Investment

Description: DP expects the trade to unfold over months to years, backed by a macro thesis or long-term growth potential. These trades are often sector or trend driven.

Purpose: Ride the trend for weeks to months.

Action: Start by cost averaging into a position, but for big idea trades, consider scaling up to full size if DP's confidence remains strong and capital is available to tie-up. Trading around a core allows flexibility while maintaining the core. Add to the position on dips and reduce during rallies, but always retain the core as the foundational long-term position.

Practice: For high-confidence, long-term investments, trading around the core becomes key. Add on price dips but maintain a significant portion of the original position as the core to capture long-term growth.

Sizing: Start with a half position and tier-in for a good average price, and for very high conviction, you can size up to double position where capital is available.

Examples: DP provides a long-term thesis, such as growth in a specific sector or macroeconomic trend driving stock performance over the long haul.

In a big idea like NVDA, maintain a long-term core position, buying more during volatility, and trimming profits on spikes while keeping the original position intact for future gains.

D: Lotto (or Lottery) Trade

Description: A high-risk, high-reward trade, typically involving out-of-the-money (OTM) options or options with a very near-term expiration date, such as 0DTE (zero days to expiration) options. These trades have a low probability of success but can offer significant upside if the market moves quickly and in the expected direction.

Purpose: Take immediate advantage of short-term price movements that occur outside of standard daily trading ranges, often driven by significant events like earnings reports, news catalysts, or extreme volatility.

Action: Enter the trade quickly, often during moments of sharp price movement or in anticipation of a major catalyst. Trim some profits early to secure gains if the trade moves in your favor and let the remainder of the position "ride" to expiration, understanding that there is a reasonable risk of the options going to zero.

Sizing: Due to the high volatility and high risk associated with these trades, allocate only a small portion of your trading capital. Usually, the position size for a lotto trade is smaller than your typical trade, as the chances of losing the entire investment are elevated.

Practice:

- Entry: Be quick to enter, typically during sharp moves or ahead of catalysts like earnings, macroeconomic reports, or market volatility.

- Profit-taking: As soon as the trade shows a significant gain, trim part of the position to lock in profits, while allowing the rest to play out for a potential larger payoff.
- Expiration: Be aware of the timing, as lotto trades are generally very short-term, often closing the same day or within a day or two.

Examples: A trade involving 0DTE call options on Tesla (TSLA) across a favorable announcement event, where the stock experiences a sharp move higher during the day. The trade could be initiated in the morning with a quick trim to secure early profits, while the remaining position is held until expiration for potentially large gains.

4. Timing of the Trade

Based on DP's comments, identify when to take the trade, such as

- Pre-market
- At the market open
- At levels via limit orders
- After hours (e.g. earnings reports)
- After an event (e.g. PCE at 8:30am or JOLTS reports at 10am)

and if any news or events should influence the timing.

5. Sizing for Each Trade by Confidence and Duration

The following matrix connects confidence levels with trade duration to determine appropriate sizing and capital allocation:

	Cashflow Trade (Day)	Swing Trade	LT Investment
<i>Big Idea</i>	Full to double + options	Full to double + options	Full position + options
<i>High</i>	Full position	Full position	Full position
<i>Medium</i>	1/2 position	1/2 position	(none)
<i>Low</i>	1/4 position	1/4 position	(none)

6. Trading around a core

Purpose: Trading around a core means holding a foundational position (core) while trading smaller amounts around it, capitalizing on short-term price movements without jeopardizing long-term exposure.

Action: Hold onto a core position for high-confidence trades. Add shares when the stock pulls back to support levels and sell those added shares near resistance while retaining the core. This approach helps to reduce risk and generate short-term profits while preserving the long-term position.

Example: In a high-conviction trade like TSLA, maintain a core position long-term, buying shares during short-term pullbacks, and selling those extra shares when the stock rallies, while still holding onto the core.

7. Putting it All Together

To implement this framework, for each trade, ask the following:

1. Sentiment: (e.g. Bullish, Bearish, Neutral, Unsure)
2. Confidence: (e.g. Big Idea, High, Medium, Low)
3. Duration: (e.g. cashflow, Swing, Long-term)
4. Position Size: Size the trade according to confidence and duration. Adjust for trading around the core—hold core and scale positions around it during short-term price fluctuations. (e.g. small, 1/4 position, 1/3 position, 1/2 position, full position, double). How quickly should we scale into the position?
5. Timing: When to enter and exit the trade (e.g. at the open).
6. Management: How should we manage the trade? Where to take profits? Take profits or exit quickly for scalps. For Swings and investments trading around a core for long-term performance is key.